

climb between them. That is the ideal pattern, but few look like that in the real world.

Of the four varieties of double bottoms, the Eve & Eve double bottom has the highest average rise—50%—in bull markets, ranking 5 out of 39 where a rank of 1 is best. I can see why this chart pattern is a classic. The performance rank is more than three times better than the other three varieties of Adam and Eve double bottoms. Not only that, but it has a comparatively low breakeven failure rate, 12%, ranking 13 out of 39 (not shown). What more could a trader want?

Let's take a look at this double bottom variant.

Tour

What does an Eve & Eve double bottom look like? [Figure 29.1](#) shows a good example of the twin Eve bottom. This double bottom forms after a broadening bottom chart pattern (the pattern on the left of the chart). The two Eve bottoms are wide, rounded, and distinct lows separated so that they are not part of the same congestion region. The rise between the two bottoms in this example measures an unusually tall 40%. In March, price closed above the highest high in the pattern, confirming the twin bottom as a true double bottom.

Why does a double bottom form? All chart patterns show the struggle between buying demand and selling pressure. When price drops to a point where traders view the stock as a steal, they buy. If buying demand is high enough, the stock moves up in price. That is why the bottom usually shows a volume spike or high volume. In a double bottom, selling pressure balances buying demand, making the bottom turn long and gentle as bulls and bears struggle for dominance.